

SOLE SOURCE JUSTIFICATION

ORDER >SAT

[FAR 8.401](#) and [GSAR 538.7104-3](#)

Acquisition Plan Action ID: [REDACTED]

(1) Contracting Activity: Department of Veterans Affairs, Network Contracting Office 04, Commodities 1 Branch in support of the VISN04 VA Medical Centers: Altoona, Butler, Coatesville, Erie, Philadelphia, Pittsburgh, Lebanon, Wilkes-Barre, and Wilmington.

PR: Planned multi-station FSS Blanket Purchase Agreement (BPA), funding will be provided by the requesting facilities for resulting orders. [REDACTED]
[REDACTED]

(2) Description of Action: This acquisition is conducted under the authority of the Multiple-Award Schedule Program ([41 U.S.C. 152\(3\)](#) and [40 U.S.C. 501](#)), updated per FAR Overhaul, implemented by **GSAR 538.7104-3**. This acquisition of a multi-facility FSS-BPA for Acustaf's proprietary Labor Management Software will consolidate multiple existing contracts for system licenses and training all awarded to Acustaf Development Corporation on a sole source basis. The BPA established by this new requirement will prevent duplicative efforts for upcoming contract renewals, provide a streamlined ordering process at the station level, allow for increased flexibility for implementing new departments for labor management usage, and ensure the highest-level discounts are provided for all covered medical centers.

Order against: ☒ FSS Contract Number: _ GS-35F-0408X_

Name of Proposed Contractor: ACUSTAF DEVELOPMENT CORP

Street Address: 4300 MARKETPOINTE DR
STE 240

City, State, Zip: EDINA, MN 55435-5423

Phone: 952-831-4122

(3) Description of Supplies or Services: [REDACTED]
[REDACTED]

The Acustaf Labor Management Software (LMS) System in use at multiple VA Medical Centers provides an automated and standardized scheduling system throughout multiple VA facilities and departments which significantly increase efficiency, data quality, and decision making for staff scheduling/allotment. The Acustaf LMS has been successful in reducing the administrative burden of VA staff by allowing multiple departments (Nursing, Food/Nutrition, Sterile Processing Services, etc) to independently measure staffing and scheduling, while also

providing report functions for a multitude of functions: HR connectivity, finance and payroll, and automating VA report requirements needed by VHA Directives (1731:DSS Labor Mapping, 1750: Managerial Cost Account).

Acustaf provides unique functionality as each departments system is tailored to their specific requirements. For example, the nursing module is designed to provide data for the Veterans Affairs Nursing Outcomes Database (VANOD), the National Database of Nursing Quality Indicators (NDNQI), and to manage/track overtime, leave, and other labor management data. All employee information is directly imported from VISTA to eliminate intensive data entry. Additional features include automatic notification to timekeepers for schedule changes, reporting the “true cost of business” vs “payroll hours”, allowing staff to swap shifts with managerial oversight and audit trails for changes, and tracking licenses/education/skill-based competencies/ACLS-BLS certificates/CEP for each user. Further customization is available, as well as new department implementation and contractor provided training for each user type (base users through system administrator).

The requested brand name Acustaf LMS is a proprietary system only available through the manufacturer, Acustaf Development Corp (VOSB), which was confirmed by the manufacturer’s sole source letter and market research.

The resulting FSS BPA will consist of a base + 4 option years, estimated periods of performance are:

Base: 05/24/2026 – 05/23/2027

OY1: 05/24/2027 – 05/23/2028

OY2: 05/24/2028 – 05/23/2029

OY3: 05/24/2029 – 05/23/2030

OY4: 05/24/2030 – 05/23/2031

An annual BPA review will be conducted prior to exercising any option. All VA Medical Centers within NCO4’s supporting area will be able to utilize the resulting BPA to meet the needs outlined within their existing contracts while providing flexibility to implement new service departments for Acustaf use, which has been a recurring request and need at the facility level. This BPA will also provide the opportunity for Acustaf system implementation within the two VAMCs without active Acustaf contracts should it be needed and requested.



(4) Identify the Authority and Supporting Rationale: References Updated per FAR Overhaul

☐ **GSAR 538.7104-3(b)(i):** An urgent and compelling need exists and following the ordering procedures would result in unacceptable delays:

☒ **GSAR 538.7104-3(b)(ii):** Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized:

The Acustaf LMS is the only software approved by the VA that utilizes the HL7 interface to communicate with VISTA and related VA systems. No other labor management software has the capability or approval to draw data or provide reports utilizing VISTA, Decision Support Systems (DSS), VA Nursing Outcomes Database (VANOD), Paid Enhancement for VANOD (PEV), and the Office of Nursing Service (ONS). This significantly reduces the administrative burden for managers, timekeepers, and employees by preventing the need for paper tracking of schedules, leave, FMLA use, tracking, license/certification expirations per employee, tracking of employee assigned duties/locations, and type of work. Acustaf's LMS is a live system which allows instantaneous communication with managers and timekeepers when any changes are made. Furthermore, Acustaf's LMS is customizable to the needs of each department and is used as a primary resource for determining staff coverage and numbers, providing reports on staffing levels, and

Acustaf's LMS is uniquely capable of communicating with VA systems; No other vendor's software possesses the capability or approvals needed to interface with VISTA and related systems. In addition, the software is currently in place for use at 7 VA Medical Centers within NCO4's coverage area; previous and current market research including public Notices of Intent to Sole Source have identified no other software on the market with the same capabilities. A National Business Associate Agreement (BAA) is in place for Acustaf's LMS software which approves the system for staff/patient census and reporting as well as related training for users. Any comparable system would require similar BAA approval, however no system with the same required capabilities exists based on market research.

☐ **GSAR 538.7104-3(b)(iii):** In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order provided that the original order was placed in accordance with the applicable Federal Supply Schedule ordering procedures. The original order must not have been previously issued under sole source or limited source procedures.

☐ **GSAR 538.7104-4:** Items peculiar to one manufacturer:

- ☐ A patent, copyright or proprietary data limits competition. The proprietary data is:
- ☐ These are “direct replacements” parts/components for existing equipment.
- ☐ The material/service must be compatible in all aspects (form, fit and function) with existing systems presently installed/performing.

(5) Describe Why You Believe the Order Represents the Best Value consistent with GSAR 538.7102-2(b)(4) to aid the contracting officer in making this best value determination:

In accordance with GSAR 538.7102-2(d)(2), ordering activities are not required to make a fair and reasonable price determination for FSS products, services, or solutions at the order and BPA level as FSS pricing has been determined fair and reasonable.



(6) Describe the Market Research Conducted among schedule holders and the results or a statement of the reason market research was not conducted.

Market research was conducted using available resources. Research methods included a review of the acquisition history for Acustaf procurements from VAMCs covered under NCO4, using FPDS and the VA’s Adds Up portal, reviewing GSA eLibrary, NASA SEWP, and by posting a Notice of Intent to sole source this procurement to SAM.gov.

An initial review of the acquisition history for NCO4 Acustaf LMS contracts was conducted by reviewing the following active contracts:

Station	Contract Number	Value
Wilmington		
Wilkes-Barre		
Philadelphia		
Pittsburgh		
Coatesville		
Erie		
Lebanon		

All the above contracts were sole sourced as FSS orders through Acustaf's GSA schedule due to specialized brand name software only available from one source; each contract action was supported through independent market research and justification documents. Research conducted on the most recent awarded contract was performed during July 2025. A review in conjunction with new market research efforts confirmed there have been no changes to the market and no equitable software available for use from other vendors.

FPDS, GSA eLibrary, the SBA's Small Business Search, the VA's SCMC, and the VA's Adds Up portal were first utilized to identify potential alternative labor management / scheduling systems. Searches using a combination of keywords such as "labor management", "scheduling system", and "VISTA" were utilized to search for any other system capable of interfacing with VISTA, the most essential and unique feature of the Acustaf LMS. Neither the contract specialist nor the technical experts were able to identify any acceptable / comparable labor management system. A Notice of Intent to sole source this procurement, including an excerpt from the Statement of Work (description of the Labor Management System capabilities and required salient features) was posted to SAM.gov on 02/23/2026 with a close date of 03/04/2026; There were no responses or objections to the Government's intent.

Following the determination that no other comparable or acceptable labor management system exists, research was conducted on the Acustaf system to identify whether it could be provided from multiple sources. A sole source letter was provided by the technical experts at the Lebanon VAMC dated April 15, 2021 (used for the previous acquisition). The contract specialist obtained confirmation from Acustaf Development Corp that the sole source letter still applies and the information is current. Independent research on Adds Up and FPDS provide supporting evidence as results show similar procurements have recently and continuously been sole sourced to Acustaf Development Corp. Acustaf Development Corp is an SBA verified Veteran Owned Small Business, and the only potential source for obtaining the Acustaf LMS licensing, training, and implementation needed throughout the NCO4 covered VA Medical Centers. Additional documentation on the market research efforts and documentation is included within the Market Research Report.

(7) A Statement of the Actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made:

In accordance with GSAR 538.7104-1(c), an annual review of BPAs must be conducted so a written determination can be made on whether the BPA still represents the best value which includes consideration of potential alternative labor management systems. Ongoing market research will be conducted to review whether any alternative labor management systems become available (including review of National VA Business Associates Agreements, contract awards for similar systems, and input from the technical experts at each VAMC). Should any alternative system or software become available, it will be evaluated whether a transition /

potential solicitation would be anticipated to provide better value than exercising any BPA option periods.

Similarly, this contract vehicle provides the maximum flexibility for individual VA Medical Centers to opt in/out as needed should better value be anticipated by performing the labor management in-house.

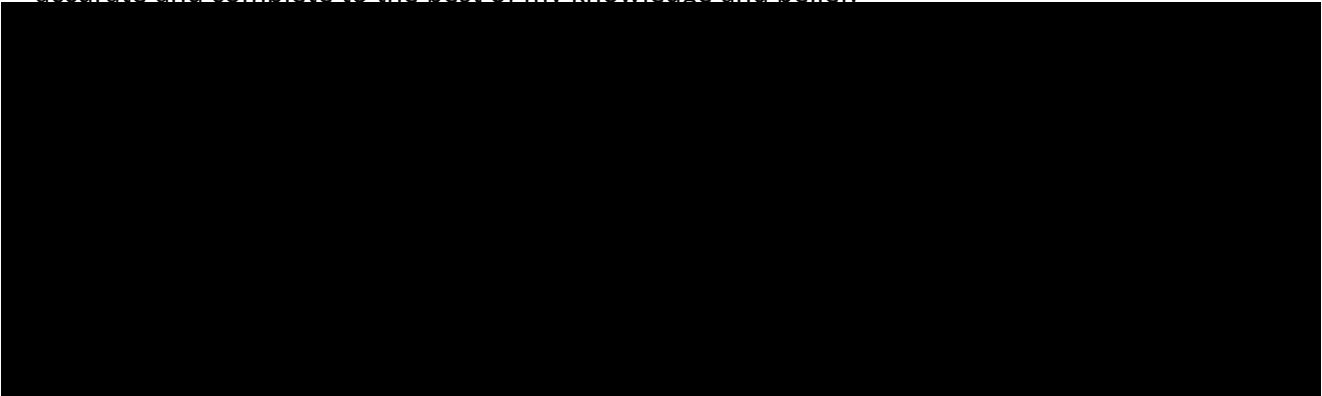
New market research will be conducted prior to any follow-on contract or ordering vehicle after BPA's ordering period inclusive of all options has ended.

(8) Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge. I understand that processing of this limited source justification restricts consideration of Federal Supply Schedule contractors to fewer than the number required by FAR Subpart 8.4.

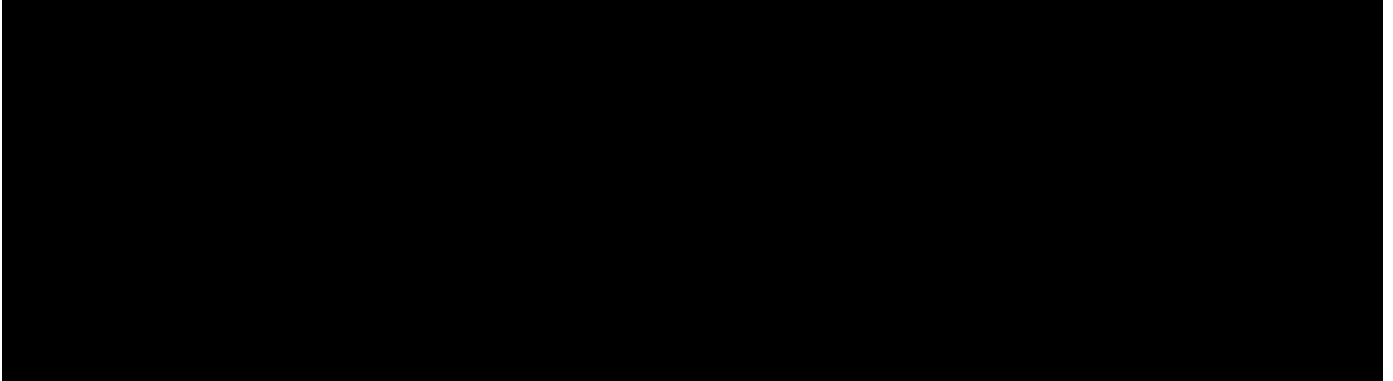


(9) Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

a. Contracting Officer's Certification (required): I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.



b. One Level Above the Contracting Officer (Required over the SAT but not exceeding \$900K):
I certify the justification meets requirements for other than full and open competition.



HIGHER LEVEL APPROVAL (Required for orders over \$900,000):

c. VHA RPO HCA Review and Approval (over \$900,000 to \$90 million): I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and approve for restricting consideration of the Federal Supply Schedule contractors to fewer than the number required by FAR Subpart 8.4.

